

price of 25½ for Sears Roebuck, or 20 times its then earnings.) Even though ALCOA's profits did show excellent growth thereafter, it is evident that in this case the future possibilities were greatly overestimated in the market price. It closed 1970 at exactly half of the 1959 high, while Sears tripled in price and the DJIA moved up nearly 30%.

TABLE 12-1

	<i>ALCOA</i>	<i>Sears Roebuck</i>	<i>DJIA</i>
Average earnings 1968–1970	\$4.95 ^a	\$2.87	\$55.40
Average earnings 1958–1960	2.08	1.23	31.49
Growth	141.0%	134.0%	75.0%
Annual rate (compounded)	9.0%	8.7%	5.7%

^a Three-fifths of special charges of 82 cents in 1970 deducted here.

It should be pointed out that ALCOA's earnings on capital funds^{*} had been only average or less, and this may be the decisive factor here. High multipliers have been *maintained* in the stock market only if the company has maintained better than average profitability.

Let us apply at this point to ALCOA the suggestion we made in the previous chapter for a “two-part appraisal process.”^{*} Such an approach might have produced a “past-performance value” for ALCOA of 10% of the DJIA, or \$84 per share relative to the closing price of 840 for the DJIA in 1970. On this basis the shares would have appeared quite attractive at their price of 57¼.

To what extent should the senior analyst have marked down the “past-performance value” to allow for adverse developments that he saw in the future? Frankly, we have no idea. Assume he had reason to believe that the 1971 earnings would be as low as \$2.50 per share—a large drop from the 1970 figure, as against an advance expected for the DJIA. Very likely the stock market would take this poor performance quite seriously, but would it really establish the once mighty Aluminum Company of America as a relatively *unprofitable* enterprise, to be valued at less than its tangible assets behind the shares?[†] (In 1971 the price declined from a high of 70 in May to a low of 36 in December, against a book value of 55.)

ALCOA is surely a representative industrial company of huge size, but we think that its price-and-earnings history is more unusual, even